Index data typically includes:

- **Index Value**: The current level of the index
- **Percentage Change**: How much the index has moved relative to its previous value
- **Component Movements**: Data about which stocks within the index are driving changes

Indices are particularly valuable for algorithmic traders because they provide context for individual stock movements. For instance, if a stock drops 2% while its sector index drops 3%, the stock is actually showing relative strength—a nuance that algorithms can be programmed to identify and exploit.

Forex Rates: The Currency Market

The foreign exchange (forex) market is the largest financial market in the world, with over $6.6 trillion traded daily. Forex data tracks the exchange rates between currency pairs.
Common forex data points include:

- **Bid Price**: The highest price a buyer is willing to pay
- **Ask Price**: The lowest price a seller is willing to accept
- **Spread**: The difference between bid and ask prices
- **Timestamp**: The exact time of the quoted prices

Forex markets operate 24 hours a day, five days a week, generating continuous data streams that algorithmic systems can monitor for trading opportunities around the clock.

Cryptocurrencies: The New Frontier